

Reviewer: Christine Mahoney

Overall Global Capitalism Index

General review of the subindex and index structure of the Global Capitalism Index design, with a particular focus on the following questions:

- Are any of the 8 subindices of capitalism not appropriate to include? – No they all seem important and distinct concepts
- Are any major categories missing? – No, I don't think so, I wonder about the role of education, if you had a society that ranked highly on all of these capitalism components, but didn't value or invest in education at all, would you have a thriving economy and thriving society? Likely not, will be interested to hear how the authors think about the role of education – perhaps just another societal component that is an important factor driving economic outcomes but outside the capitalist framework?
- Review technical/weighting methodology for entire Index, in particular:
 - Evaluate the principal components analysis methodology
 - Do you concur with our decision to use PCA instead of a subjective weighting scheme?
 - Does the description of the PCA process provide enough transparency?
 - What additional information would you like provided?

Both the New Business Formation and Growth Overview, and the Technical Appendix are at a rather high level of abstraction/ theoretical level which makes it sound a bit vague, I'd recommend providing one concrete example and walking readers through it. If you want a large number of scholars to engage with it, you need to be able to explain the PCA to scholars that are not familiar with using them, in political science at least it is much more common in Europe than in the U.S. The more clearly, simply and concretely you explain it, the more comfortable and confident users will be with using it, and the more they will use it, thus helping the GCI succeed from an impact standpoint.

The argument you have in the white paper, that the other two primary competing indices (Heritage and Fraser) are relied on so heavily that their bias and overuse could inadvertently lead scholars to believe there are consistent findings due to their overuse is compelling. You have likely developed a hugely important resource here, but the mention of "proprietary" and not showing the raw data, will result in far lower usage than if you make it transparent and open. If you make it transparent, all the way down to the compiled raw datasets, so that scholars can really look under the hood, you will likely see citations and usage skyrocket.

I don't know if you are aiming at selling the database and thus don't want to make it publicly available at its rawest level – but the tool will be much more widely used, and much more influential, the less you keep hidden behind the curtain. (If you are already planning on making everything publicly available please ignore this but I am a third of the way through this paper and it is still high level and vague with no specifics on examples of raw data.) You and Darden will make more money on an index that rivals heritage through prestige, conferences and earned media, than you will in sales from dataset access.

I think the sooner you can give readers a factual example of some real data (for example this data set comes from X, county Y scores a and county Z scores b, and this is how we incorporate it into this component, and this is how the component performs xxxx) the better.

I think early on in the white paper, where you have the table of the 8 subindexes to have a link to an appendix table that lists out the Components of each subindex as well, this allows you to get out in front of academics heads running through things you might have missed. For example, I wondered about education, and now I see that is captured in Human Capital, the first component of New Business Formation (but literacy obviously has impact on all sorts of things beyond new business formation, so scholars may not immediately think to find it there).

Assigned Subindex: **New Business Formation and Growth**

Evaluate the theoretical framework

- Does our model of the subindex make sense, are we missing any vital elements of the concept?

Yes it makes sense, but I had to scroll through the entire document to uncover what the 6 components were, I'd recommend putting those right up front in the first paragraph so readers aren't going on a mystery hunt. (and maybe put some examples parenthetically so they have some foreshadowing of where you are going).

A. Human Capital (including data on literacy rates, xxxx)

B. Cultural Acceptance of Entrepreneurship (for example attitudes toward entrepreneurial risk)

C. Market Access (WEF Local Competition Intensity measure)

D. Access to Startup Capital (i.e. number of bank accounts per 1000 adults)

E. Government Supporting Policy (i.e. number of days to start a business...)

F. R&D Transfers (i.e. gross expenditures on R&D)

- Are these components exhaustive of the concept, are there others we are missing?
1. One thing I heard about while doing fieldwork on my Refugee Entrepreneurship book is the importance of bankruptcy law – some countries, seemed more coming in the Middle East, don't have bankruptcy law, and so if your start up fails, you are personally financially destroyed, and this suppresses business formation in such countries – not sure if you have that under a different sub-index, or a different component, but it didn't seem to be captured here

2. Also Regarding Government Supporting Policy, in the world I have focused on the last decade, is right to work (refugees), as well as the right to bank, right to start business, the importance of these rights would also extend to women (in some places they are not allowed to work, start businesses, have bank accounts, or own land) So if half a population is limited from doing these things, they will be limited in their ability to form new businesses. You already have a massive amount of data gathered but these examples show how researchers might want to add additional data and key variables to your data to explore new and interesting areas – they'll only be able to do that if they can access your data in unaggregated formats.
3. Are there concerns with any particular datasets? --- Well you'll likely have the people arguing that some of this could be endogenous, is it that R&D spending is an indicator of a thriving capitalist system? Or do you have a thriving economy, so people spend more on R&D? No way to get around the people that will want to critique on this point I don't think.

Final evaluation:

1. **Recommend approval of Index model as it is – but make it all publicly available including the raw data – literally! Every PHD student for the next 50 years will cite it and use it!**
2. Recommend approval of Index model once minor concerns are addressed and recommended changes made
3. Recommend major revision and resubmission the Index model (including what major alterations would be necessary for the reviewer to reconsider)
4. Reject the index